



PROPERTY ANALYSIS REPORT

4321 Lumina Way, Palm Springs, CA 92262

\$1,695,000

SFR — Escena Golf Club (Gated)



Grade: B | Score: 57/100

WATCH



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Score Dashboard

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Category	Score	Weight	Status
Value & Comps	57/100	25%	Mixed
Income Potential	44/100	20%	Mixed
Neighborhood Quality	66/100	20%	Mixed
Investment Upside	52/100	20%	Mixed
Market Conditions	66/100	15%	Mixed

Comparable Sales Analysis

Address	Sale Price	Sq Ft	\$/Sq Ft	Sold	Distance
4499 Esplanade Ln, PS	\$1,470,000	2,561	\$574	Apr 2025	0.3 mi
4631 Kellogg Way, PS	~\$1,350,000	2,579	~\$524	2025	0.4 mi
4450 Moneo Ct, PS	\$1,445,000	2,421	\$597	Oct 2025	0.3 mi

Comp Average: ~\$1,422,000 (comp avg) • Avg \$/Sq Ft: \$565/sq ft (comp avg)

Cash Flow Projection

Item	Monthly	Annual
Gross Rental Income (LTR)	\$6,500	\$78,000
Vacancy Loss (5%)	-\$325	-\$3,900
Effective Gross Income	\$6,175	\$74,100
Mortgage P&I (6.62%, 30yr)	-\$8,675	-\$104,100
Property Taxes (~1.1%)	-\$1,554	-\$18,648
HOA	-\$230	-\$2,760
Insurance	-\$267	-\$3,200
Prop. Mgmt (9% EGI)	-\$556	-\$6,669
Maintenance Reserve (7%)	-\$432	-\$5,187
CapEx Reserve (5%)	-\$309	-\$3,705
Net Cash Flow (Leveraged)	-\$5,848	-\$70,169

Investment Metrics

Metric	Value	Assessment
Cap Rate	2.00%	Below market — luxury PS benchmark is 4-6%; improved from prior ask
Cash-on-Cash Return	-20.7%	Negative — appreciation-only play at current rates; improves if rates drop
Gross Rent Multiplier	21.7x	Expensive — GRM >20 signals low yield relative to price
Debt Service Coverage	0.33	Far below 1.0 — lenders require 1.25+ for DSCR loans
1% Rule Check	0.38%	Well below 1% rule — luxury lifestyle/appreciation asset

Mortgage Summary

Parameter	Value
Purchase Price	\$1,695,000
Down Payment	\$339,000 (20%)

Loan Amount	\$1,356,000
Interest Rate	6.62% (30-yr jumbo fixed)
Loan Term	30-year fixed jumbo
Monthly P&I	\$8,675
Total Monthly	\$10,496 (incl. tax + ins.)

Neighborhood Analysis



Neighborhood Details

Factor	Detail	Notes
Elementary School	Vista Del Monte — 5/10	PSUSD; Spanish/English dual immersion program; below CA average proficiency
Middle School	Raymond Cree — 5/10	Average ratings; families seeking higher scores look to Palm Desert
High School	Palm Springs High — 6/10	Average CA ratings; private school alternatives available nearby
Crime Rate	57.5/1,000 (19th pctl)	73% above national avg citywide; gated community provides meaningful buffer
Amenities	Excellent — on-site golf/dining	Nicklaus golf course + Escena Grill on-site; PSP Airport <10 min; CV Link completed 2025
Growth Drivers	CV Link + Convention Ctr	\$50M+ convention center expansion; new COD campus 2026-27; +3.6% home value forecast 2026

Demographics & Employers

Factor	Detail
Population Growth	Stable; lifestyle migration from LA/SF
Median Age	Resort/second-home market; mixed ages
Employment Rate	Tourism + healthcare anchored (Desert Regional Medical)
Major Employers	Agua Caliente Band (gaming), Desert Care Network, Hospitality/Tourism (1.6M visitors/yr)

Investment Analysis

Strategy Comparison

Strategy	Projected Return	Timeframe	Key Risk
Buy & Hold (Long-Term)	+\$180K-\$420K net (5yr)	7-10 years	-\$5K to -\$7K/mo negative cash flow; STR regulatory risk; rate environment
Buy & Hold (STR)	Near break-even at \$700/night + 70% occ. 7-10 years		26-contract cap; 20% density cap; HOA approval required; management-intensive
Fix & Flip	-\$80K to -\$160K (loss)	Not viable	Fails 70% rule; transaction costs alone exceed any flip premium

Appreciation Projections

Timeline	Conservative	Moderate	Aggressive
Year 1	\$1,754,325	\$1,762,800	\$1,771,275
Year 3	\$1,879,300	\$1,906,700	\$1,934,300
Year 5	\$2,013,200	\$2,062,300	\$2,112,300
Year 10	\$2,390,000	\$2,508,900	\$2,632,400

Scenario Analysis

Scenario	Probability	Return	Trigger
Bull Case	25%	+15-24% (5yr)	STR activation approved + rate drop to 6% + Palm Springs luxury demand surge from LA migration
Base Case	50%	+4-15% (5yr)	3.5% annual appreciation + LTR rental income + depreciation tax offset; negative monthly carry
Bear Case	25%	-5% to -12% (5yr)	Luxury softening continues; STR permit denied; rates remain elevated; Toll Brothers new supply pressures prices

Recommendation & Risk Factors

Signal: **WATCH** · **Suggested Offer:** \$1,575,000 – \$1,650,000

Property Score: 57/100 — Grade B

4321 Lumina Way is a genuinely exceptional luxury asset — 2023 new construction, owned solar, private pool, and panoramic golf and mountain views in a gated community. At the corrected listing price of \$1,695,000 (\$653/sqft), it remains approximately 11-19% above the comp-supported fair market value of ~\$1,422,000–\$1,525,000, but the gap is meaningfully smaller than a prior listing at \$1,895,000. Monthly carry is -\$5,848 under standard LTR assumptions — still negative, but \$1,218/mo less than at the higher ask. In a market where 79% of listings are taking price reductions and average DOM is 68-94 days, patient buyers retain leverage. The right entry price remains \$1,575,000–\$1,650,000 — at \$1,695,000 there is a narrow gap to close, and a motivated seller in summer 2026 may bridge it.

Action Items Before Purchase

1. Confirm STR permit availability — verify Escena's neighborhood has not hit the 20% density cap (call Palm Springs STR office)
2. Obtain written HOA confirmation that STRs are currently permitted and review any operational restrictions
3. Verify solar ownership — confirm 18 panels + 2 battery backups are owned (not leased) and fully transferable
4. Check for Mello-Roos or special assessment districts beyond the standard HOA fee
5. Submit offer in summer 2026 (June-September) when buyer traffic drops and seller leverage diminishes

Risk Assessment

Risk	Probability	Impact	Notes
Overpriced vs. Comps	High	Medium	Asking \$653/sqft vs. comp range of \$524–\$597/sqft; ~\$120K–\$270K premium vs. comp avg — gap is real but narrowed significantly from prior \$1,895,000 ask
Negative Cash Flow	Certain	High	-\$5,848/mo under LTR; STR optimistic is near break-even path; improved \$1,218/mo vs. prior ask
STR Permit Risk	Medium	High	26-contract annual cap + 20% neighborhood density cap + HOA approval required; income thesis collapses if blocked
Luxury Market Softness	Medium	Medium	-5.5% correction in 2025; 79% of listings taking reductions; DOM 68-94 days; no bidding wars at this price tier
New Supply (Toll Brothers)	Medium	Medium	119 new Nola at Escena lots in pipeline; competing new construction within same community over 12-24 months

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